



cent in most of the locations, builders are sitting on a pile of inventory. Also, they are too cash-strapped to hold on to high prices for long. Says K.G. Mantri, senior vice-president, Man Group: "The real estate market is headed for a shake-out. Small builders, who were heavily leveraged, will go out of business as cost of capital has shot up significantly. Those who had lined up projects of Rs 1,000 crore with an initial investment of Rs 100 crore will not be able to survive as funds are not easily available."

Developers across the board are facing the twin menace of falling demand and soaring costs. For instance, Fitch Ratings has downgraded Parsvnath Developers' debt rating. The rating agency has also downgraded the developer's long-term debt and long-term bank loan ratings. The real estate company will find it difficult to reduce debt on its books, and profits are expected to come down sharply. Land banks that realty companies created through bank funding are now coming back to pinch them as consumers are not willing to pay high rates.

Consequently, be it in Mumbai, national capital region, Bangalore, Hyderabad or Pune, prices of realty have corrected between 15 per cent and 40 per cent. The sharp drop in volumes also tells its own story. According to real estate consulting firms, between April 2007 and March

"Developers caught in a cash bind need to realise that their absurdly high margins can't sustain."

DEEPAK PAREKH
Chairman, HDFC

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